

Class 6

Why Nations Diverge

Part I — The Growth Miracle

The American Economy — draft course materials (proposal under discussion)

The point of today's class

Institutions — the rules of the game — appear strongly connected to long-run prosperity, but the honest economics weighs competing explanations: geography, disease, resources, culture, and policy all matter, and different eras have different answers.

Why it matters

- ▶ Class 5's exit question: the founders designed good rules on purpose — so why can't every country just copy them?
- ▶ Why some places got rich and others stayed poor is a modern economics question with **competing explanations**, not a settled story.
- ▶ Today we weigh those explanations against each other — and ask which one explains *which era*: 1500, 1800, or 2025.

Today

1. Five explanations for the hockey stick
2. Diamond: contribution and limits
3. Institutions: the AJR evidence
4. Same geography, different rules: the Koreas
5. Inclusive vs. extractive — and persistence
6. Modern echo: zero-sum thinking today

The Korean peninsula at night



Source: NASA, International Space Station photograph ISS038-E-038300 (January 30, 2014), via NASA Earth Observatory, "The Koreas at Night." Public domain.

Five explanations for the hockey stick

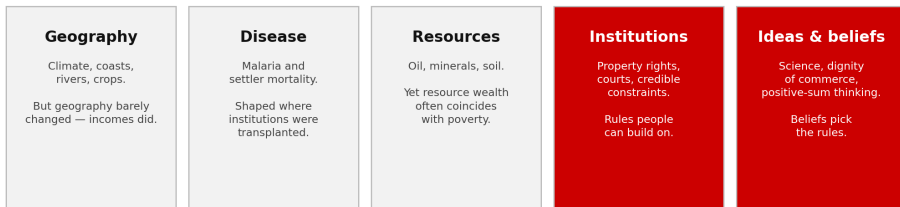
Explanation	Example	Economic point
Geography	crops, climate, disease environments	initial conditions matter
Institutions	property rights, courts, constraints	incentives and rules matter
Human capital	education, literacy, skills	knowledge raises productivity
Culture / beliefs	trust, zero-sum thinking	beliefs affect behavior and policy
Policy / state capacity	infrastructure, taxes, stability	governments support or block growth

- ▶ The question to ask of each: which explains 1500? 1800? 2025?
- ▶ These are not mutually exclusive — the debate is about weights.

Why did some nations get rich? Five explanations

Why did some nations get rich? Five explanations

Which best explains the world of 1500? Of 1800? Of 2025?



The course's working answer: institutions and beliefs do the heavy lifting — but honest economics keeps all five on the table.

Framings: Acemoglu-Johnson-Robinson; Diamond; Sachs; McCloskey; Mokyr; Chinoy, Nunn, Sequeira, and Stantcheva (zero-sum beliefs).

Source: Framings: Acemoglu-Johnson-Robinson; Diamond; Sachs; McCloskey; Mokyr; Chinoy, Nunn, Sequeira, and Stantcheva.

Diamond: contribution and limits

- ▶ **Useful contribution:** geography and biological endowments shaped early development — agriculture, domesticable animals, disease exposure, the capacity for conquest.
- ▶ **Limits as economics:** explains poorly the *modern* divergence among places with similar geography but different institutions:
 - ▶ North vs. South Korea
 - ▶ East vs. West Germany
 - ▶ U.S. and Canada vs. parts of Latin America
- ▶ Verdict: keep Diamond as one competing answer to an economics question — not the whole story.

Institutions and prosperity (Acemoglu–Johnson–Robinson)

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ACEMOGLU ET AL.: THE COLONIAL ORIGINS OF DEVELOPMENT

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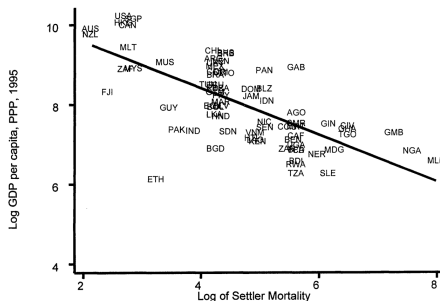


FIGURE 1. REDUCED-FORM RELATIONSHIP BETWEEN INCOME AND SETTLER MORTALITY

(first-stage) relationship between settler mortality rates and current institutions, which is interesting in its own right. The regression shows that mortality rates faced by the settlers more

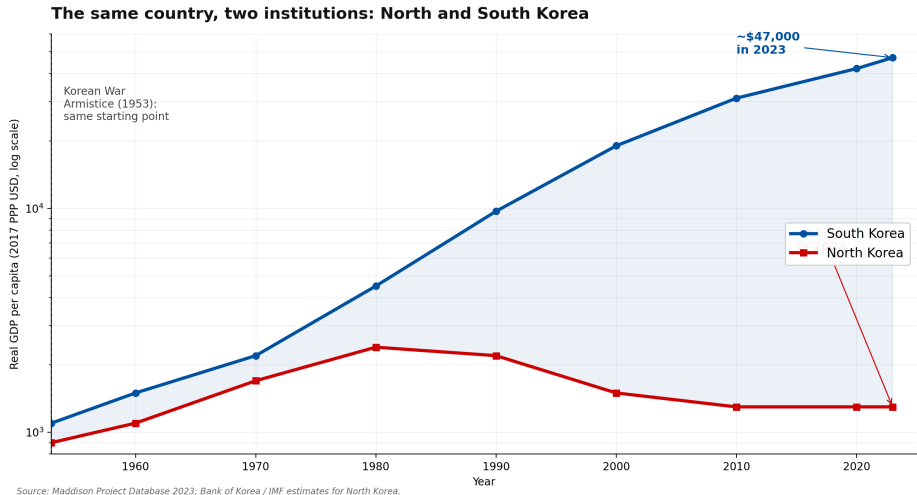
institutions to the level of Chile could, in the long run, lead to as much as a 7-fold increase in Nigeria's income (in practice Chile is over 11 times as rich as Nigeria).

Source: Acemoglu, Johnson, and Robinson (2001), *American Economic Review*, Figure 1.

The AJR empirical strategy

- ▶ The scatter alone is correlation: maybe rich places can simply *afford* good institutions (reverse causation).
- ▶ AJR's idea: where settlers faced deadly disease, colonizers built **extractive** institutions; where settlers could live, they built **inclusive** ones.
- ▶ The chain: settler mortality → early institutions → institutions persist → income today.
- ▶ What it does *not* identify: which specific institutions matter, or how a country changes them.

Same country, two institutions: North and South Korea



Source: Maddison Project Database 2023; Bank of Korea / IMF. Pedagogy follows Acemoglu and Robinson (2012), *Why Nations Fail*.

Inclusive vs. extractive — and persistence

- ▶ **Inclusive:** secure property rights for the many, open entry, constraints on power.
- ▶ **Extractive:** rules designed to transfer resources to a narrow elite.
- ▶ Colonialism as an institutions shock: settler colonies vs. extractive colonies — institutions can be imposed, and they persist.
- ▶ Persistence *within* a country: the U.S. South vs. North after slavery.
- ▶ America's inclusive-institution advantage: broad property ownership, competitive federalism, open markets — with slavery and Jim Crow as extractive enclaves *inside* the system.
- ▶ Other border tests: Nogales, Arizona vs. Nogales, Sonora; East vs. West Germany — memorable, not perfect experiments.

Modern echo: is the economy positive-sum or zero-sum?

- ▶ Beliefs still shape institutions: voters choose the rules.
- ▶ Chinoy, Nunn, Sequeira, and Stantcheva: Americans who see the economy as zero-sum support more redistribution and affirmative action, and less immigration.
- ▶ The connection to Smith: markets are partly a theory of *positive-sum* exchange among strangers.
- ▶ The bridge: Locke, Smith, and Mill explain where pro-market beliefs came from; beliefs about markets still decide which rules we keep.

Why this is powerful — and why it is controversial

- ▶ **Powerful:** explains same-geography divergence; points at incentives and rules, which can in principle change; fits the Korea evidence.
- ▶ **Cautions:**
 - ▶ institutions are hard to measure
 - ▶ causality is contested — reverse causation; human capital and culture as rival explanations
 - ▶ geography and disease still matter for some eras and places
- ▶ The honest position: institutions are the leading economic explanation — but one among several, with different answers for different eras.

Discussion

If institutions matter so much, can a country simply *choose* good institutions? If not, why not?

Read before next class

- ▶ Acemoglu, Johnson, and Robinson (2001), “The Colonial Origins of Comparative Development” (skim the introduction and Figure 1).
- ▶ North (1991), “Institutions,” *Journal of Economic Perspectives* — accessible.
- ▶ Chinoy, Nunn, Sequeira, and Stantcheva, on zero-sum thinking (skim the figures).